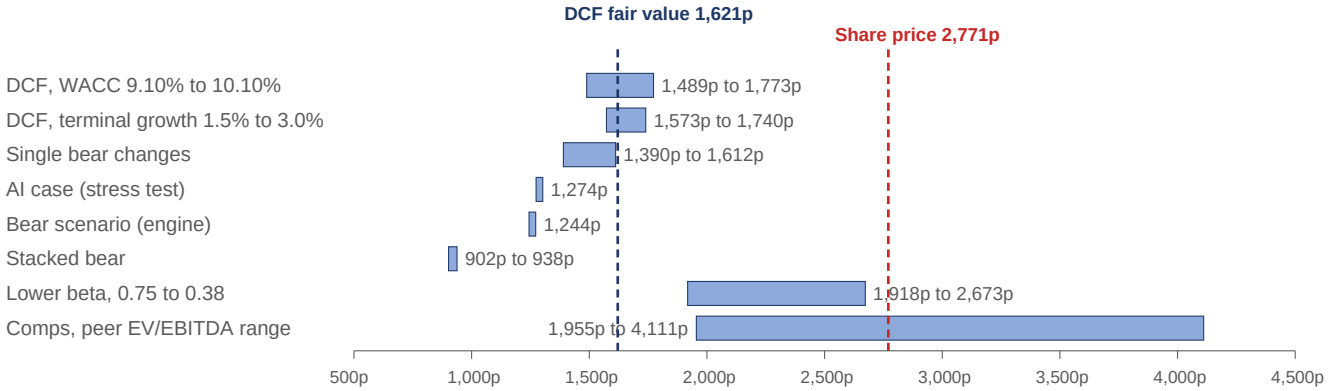
# RELX PLC (LSE: REL.L)

| SELL | Desk rating: SELL (PM review pending) | Fair value 1,621p | Share price 2,771p (13 Oct 2026 close) | Upside -41.5% | Bear case 1,244p |
|---|---|---|---|---|---|

Memo of 14 October 2026. Desk rule: BUY at +15% or more, SELL at -10% or worse. **HOLD starts at 2,494p, BUY at 3,187p.** Per-share values in pence (GBp); totals in GBP m (RELX reports in pounds, so no exchange rate is used); 1,743.75m shares (25 Sep 2026).




## Thesis

- **SELL on the desk's discount rate, not a firm call.** The DCF gives 1,621p, 41.5% below the price, at a WACC of 9.60%. That is above the desk's own 6-9% range (FLAG): the run-date gilt of 5.45% and a bottom-up beta of 0.9729 give a cost of equity of 10.31%. On these cash flows the price implies a WACC of 6.95%.
- **The discount rate alone can flip it.** HOLD needs a WACC of 7.41%, a beta of 0.449 or a gilt of 3.11%. The comps median is 2,990p (HOLD territory; range 1,955p to 4,111p), and the DCF's implied exit multiple of 7.9x EBITDA is below every peer (11.1x to 20.7x; RELX trades at 14.6x) (FLAG). RELX's own 5-year monthly beta (0.38) gives 2,673p, HOLD, but its R-squared is 0.04.
- **The cash flows cannot flip it.** HOLD would need a 48.4% margin, 15.2% a year growth in FY27-30 or 6.08% terminal growth. Every sourced bear line stays SELL. AI is now a named principal risk (shares -14.4% on 3 Feb 2026), but Legal growth is accelerating (+10% in H1 2026).

## Valuation

- **Growth (GBP):** base sales GBP 9,590m (FY25, incl. print 399); +3.0% in FY26, then 5.0% a year FY27-30 (constant-currency, already net of print run-off and disposals).
- **Margin:** 35.0% flat (H1 2026 adjusted margin without print). Savings flow-through: none (no programme modelled). Tax 22.8%; capex 7.10%, D&A 5.07% of sales; working capital -15.5% of sales.
- **WACC 9.60%:** UK gilt 5.45% (13 Oct 2026, from aggregators, FLAG), beta 0.9729 (Damodaran global Information Services 0.8737, relevered), ERP 5.0%, cost of equity 10.31%; cost of debt 6.15% (gilt + 0.70% single-A spread), 4.75% after tax; debt weight 12.82%.
- **Terminal:** growth 2.0%, RONIC 15.4%. Terminal value is 69.3% of EV; implied exit 7.9x EBITDA.

Bridge (GBP m, 31 Dec 2025): EV 36,209.2 - net debt 7,104 (ex leases) - minorities 24 + investments 131 = 29,212.2; rolled forward at 10.31% to 13 Oct 2026, less dividends 1,217 and buybacks 2,056.2 = 28,274.7 = **GBP 16.21 = 1,621p**.

Per share: PV of FY26-30 cash flows 690p + PV of terminal value 1,553p - net debt 440p - minorities 1p + investments 8p - dividends 70p - buybacks 118p since December.

| Value per share (pence) | g 1.5% | g 2.0% | g 2.5% | g 3.0% |
|---|---|---|---|---|
| WACC 8.60% | 1,872 | 1,948 | 2,035 | 2,136 |
| WACC 9.10% | 1,713 | 1,773 | 1,842 | 1,922 |
| WACC 9.60% | 1,573 | **1,621** | 1,677 | 1,740 |
| WACC 10.10% | 1,449 | 1,489 | 1,533 | 1,583 |
| WACC 10.60% | 1,339 | 1,371 | 1,407 | 1,447 |

Every cell is SELL. Comps: median EV/EBITDA 15.7x (7 peers) on calendarised EBITDA GBP 3,902m gives 1,955p / 2,990p / 4,111p; four peers are Yahoo-only data, Experian's year ends 3 months earlier, and NTM EBITDA and RELX forward EPS are MISSING.

## Fundamentals

- **Steady underlying growth, weak in pounds:** underlying +7%, +9%, +8%, +7%, +7% (FY21-25), +7% in H1 2026; reported in GBP +1.9%, +18.1%, +7.1%, +3.0%, +1.7%. The gap is currency, print run-off (print revenue -22.8% in FY25), disposals and exhibition cycling.
- **Margins rising every year:** adjusted 30.5%, 31.4%, 33.1%, 33.9%, 34.8%, and 35.5% in H1 2026; without print 32.4% (FY23), 33.4%, 34.3%, 35.0% (H1 2026). The flat 35.0% is cautious; each point is worth 65p.
- **Returns and cash:** ROIC (acquisitions at cost) 11.9% rising to 15.4%; adjusted cash conversion 97-101%.
- **Mix (FY25 underlying growth):** Risk +8%, STM +5%, Legal +9% (+10% in H1 2026), Exhibitions +8%; STM and Legal are 49% of revenue without print. Print earned 46.4% in FY25 and is being run off. North America is 58% of revenue.

## Risks

- **Beta:** 0.9729 bottom-up. Own regressions vs the FTSE 100: 0.67 (2y weekly), 0.66 (5y weekly), 0.38 (5y monthly), R-squared 0.04-0.12; raw peer median 0.75. The bottom-up beta is outside the 95% range of the 5y weekly regression (0.45-0.87). The main risk to the call.
- **Volatility:** 36.0% (1 year) and 23.2% (5 years) vs 11.6% and 12.5% for the FTSE 100. Largest daily fall -14.4% (3 Feb 2026, AI legal tool launch).
- **Drawdown:** -51.3% over 5 years, 4,133p (13 Feb 2025) to 2,012p (11 Feb 2026), dividend-adjusted; the price is still 33% below the peak (FTSE 100: -13.4%).
- **Leverage:** net debt / adjusted EBITDA 1.87x (Dec 2025) and 2.22x (Jun 2026, after GBP 1,750m of H1 buybacks); RELX reports 2.0x and 2.3x. No numeric target. Rated A3 / A- / BBB+ (Fitch). In this WACC framework more debt slightly raises the value (+12.5p), so leverage is a risk, not a value line.

## Bear case and our response

Pence per share, impact vs 1,621p. A: against buying; B: against the SELL.

| Challenge | Test: value (impact) | Response |
|---|---|---|
| A1. Bear margin 33.1% is a group figure incl. print | 33.1%: 1,498p (-124p); 32.4% like-for-like: 1,451p (-170p) | PM to respond |
| A2. AI caps Legal and STM pricing | Growth 3%: 1,476p (-146p); g 1.5%: 1,573p (-49p); AI case: 1,274p (-347p) | PM to respond |
| A3. Reinvestment under-charged | RONIC = WACC: 1,481p (-140p); acquisitions 2.7%: 1,549p (-73p); tax 25.0%: 1,561p (-60p) | PM to respond |
| A4. Discount rate, leverage, price path | Engine bear: 1,244p (-378p); beta 1.195: 1,390p (-231p); BBB spread: 1,612p (-9p) | PM to respond |
| A5. Stacked bear | 902p (-720p) to 938p (-684p) | PM to respond |
| B1. Market-implied WACC 6.95% | Needs beta 0.365; beta 0.38 gives 2,673p (HOLD) | PM to respond |
| B2/B8. 2.0% terminal growth vs a 5.45% gilt; other gilt readings | g 2.33%: 1,657p (+36p); g 2.50%: 1,677p (+55p); gilt 4.94%: 1,765p (+144p); 5.39%: 1,637p (+16p); 4.99% (stale): 1,750p (+128p) | PM to respond |
| B3. Beta 0.973 vs regressions and peers | 0.75: 1,918p (+296p); 0.66: 2,067p (+445p); 0.58: 2,207p (+585p); 0.38: 2,673p (+1,051p, HOLD) | PM to respond |
| B4. Implied exit 7.9x below every peer | RONIC 25.1%: 1,711p (+90p); g 5.46% for 11.1x: 2,256p (SELL) | PM to respond |
| B5. Flat margin vs rising record | 35.5%: 1,654p (+33p); 38.6% (judgement): 1,856p (+234p) | PM to respond |
| B6. 5% growth vs 7% underlying | 7% FY27-30: 1,775p (+154p) | PM to respond |
| B7. Comps 2,990p | +7.9% vs price, HOLD territory | PM to respond |

Generous stack: 2,548p (HOLD) only with beta 0.75 AND the stale 4.99% gilt; with the run-date gilt it is 2,336p (SELL), with beta 0.973 2,127p (SELL). **Bear agent's conclusion:** the SELL is robust to every cash-flow and terminal assumption but not to the discount rate; present it as "SELL on the desk's discount rate", with the flip points beside it. **PM view:** PM to respond.

## Sources

- RELX Annual Report 2025 (20-F ex 15.2, SEC accession 0001104659-26-017277, filed 19 Feb 2026): balance sheet p.141, notes 1-2 (pp.145-147), note 15 (p.167), note 20 (p.176), five-year summary p.186, p.199, pp.204-206; XBRL.
- RELX FY2025 results 6-K ex 99.1 (0000929869-26-000008, 12 Feb 2026) pp.2-29; H1 2026 interim results 6-K ex 99.1 (0000929869-26-000054, 23 Jul 2026) pp.1-28; buyback, dividend and voting-rights 6-Ks (0000929869-26-000041, -000056, -000064, -000066, -000068, -000071); FY21-FY24 results 6-Ks (guidance record); RELX Capital term sheet (0001193125-25-061449, 24 Mar 2025).
- UK 10-year gilt on 13 Oct 2026: Investing.com and Trading Economics; aggregators, not a primary source (Bank of England site blocked). FRED: BAMLC0A3CA, BAMLC0A4CBBB, DGS10, DFII10, T10YIE, IRLTLT01GBM156N. Damodaran betaGlobal.xls (5 Jan 2026, PM upload).
- Yahoo Finance (non-filing): REL.L, ^FTSE and peer prices (to 13 Oct 2026). Peers: SEC EDGAR XBRL (TRI, VRSK, SPGI, MCO); Yahoo (Wolters Kluwer, Experian, LSEG, Informa). Thomson Reuters Q2 2026 6-K (0001193125-26-333835).
- PM decisions: briefs/RELX.yaml, docs/phase5/brief-relx.md and docs/phase5/relx-*.md. Agent outputs: runs/RELX/2026-10-14/ (data, risk, fundamentals, valuation, bear).